

Bought without the keys

Fortum paid for Uniper twice, never got control, and nearly went bust. Finland's parliament has now written the post-mortem. The lessons reach far beyond one utility

Juri Jukola · 19 September 2026 · Analysis

In September 2017 Fortum, Finland's largest energy company, agreed to buy into the German utility Uniper at €22 a share. Two years later it bought more at €29.93. In December 2022 the German state took the whole holding off its hands for €1.70. Fortum's pre-tax loss was just under €6bn, and according to the Finnish parliament's audit committee, which published its report on 17 September, the company came close to insolvency.

The Finnish state owns 51 per cent of Fortum because it treats secure electricity supply as a national interest. The minister then responsible for state holdings, Mika Lintilä, says he heard about the deal about fifteen minutes before it was announced. The committee found "obvious gaps" in how Fortum informed its majority owner and proposes that the state should always sit on the boards of the companies it owns. It assigns no personal blame.

I have read the report and the five expert statements submitted to the committee. My conclusion is more specific than the committee's. The 2017 purchase was a poor decision, but a reversible one. The decisions of 2019–2021 made it irreversible and turned a loss into an existential threat. Nobody, neither the board nor the owner, held the whole risk.

A cash pile with a deadline

In 2014 and 2015 Fortum sold its electricity networks in Finland, Sweden and Norway for about €9.3bn, booking €6.2bn of tax-free gains. Management was told to find better uses for the money, close to home, in its core business, and to invest much of it during 2017. The pressure was not only internal. According to the Finnish research house Inderes, the prime minister of the day, Juha Sipilä, wanted the state's balance sheets put to work.

Research knows this setting well. Ulrike Malmendier and Geoffrey Tate found that overconfident chief executives are 65 per cent more likely to acquire, and that the effect is strongest when the deal can be paid for from internal cash. Add a deadline and the choice of target begins to drive the strategy.

The target was E.ON's fossil remainder. Uniper, spun off and listed in 2016, was Germany's largest gas supplier, served more than 420 municipal utilities on long-term fixed-price contracts and bought much of its gas from Gazprom. Its 2017 revenue of €72bn was sixteen times Fortum's. What Fortum wanted was a small part of it: hydro and nuclear stakes in Sweden, in plants the two companies already co-owned. The plan was to buy control and then not keep everything.

Paying twice for control

Fortum did no due diligence. The committee says it judged an inspection unnecessary because Uniper had just published a listing prospectus and, as a listed company, had to disclose everything material. In a contested bid full due diligence would have been hard anyway: targets do not open their books to

unwelcome buyers. That is exactly why the gap should have been covered by a lower price, tighter conditions or a staged approach. Instead Fortum paid a 36 per cent premium to the pre-speculation share price.

Three locks stood between Fortum and control, and all of them were visible from the start. Russia capped a state-owned foreigner at 50 per cent because Uniper's Russian subsidiary held a drinking-water licence. German company law gives even a majority owner no power to instruct management or touch the cash without a domination agreement, which needs 75 per cent of the vote. And under co-determination, half of Uniper's supervisory board represented employees, who fought Fortum in public.

In October 2019 Fortum bought out the activist funds Elliott and Knight Vinke at €29.93 a share, about €2.6bn for 23.4 per cent. By then it knew about all three locks and had a rating agency warning about its credit. To win labour peace it promised not to sign a domination agreement or squeeze out minorities before the end of 2021. The committee notes the contradiction: Fortum bought a majority to accelerate its strategy and at the same time gave up the tools that would have turned it into control. Break-up proved, in the committee's words, practically impossible.

How much of the loss belongs to 2017? Had Fortum kept only the 46.65 per cent bought from E.ON for €3.76bn, its roughly 171m shares would have fetched about €0.3bn at the 2022 price. The loss would have been about €3.5bn, half the eventual figure, and a minority owner would not have made the commitments that followed. The first purchase was also reversible: in October 2019 Uniper was worth about €10bn, or roughly €27 a share, well above the €22 Fortum had paid.

Eight billion before Christmas

In March 2021 Fortum took charge of Uniper's management. A former Fortum director became chief executive and Fortum's own chief executive, Markus Rauramo, chaired the supervisory board. For a year it looked clever: in 2021 Fortum posted the best result in its history, half of it from Uniper.

Then gas prices exploded. The Dutch TTF benchmark, around €20 per megawatt-hour at the start of 2021, hit a record €183 on 21 December, according to the European Commission. Fortum puts the rise at up to 1,000 per cent. Uniper had sold 90 per cent of its 2022 German power output forward at €49; the contract closed the year near €220. Exchanges demand collateral from sellers when prices rise. The money comes back when the power is delivered, but the cash has to be found at once. This was a liquidity crisis, not a solvency one.

Fortum provided up to €8bn: a €4bn shareholder loan and a €4bn parent guarantee. Bloomberg reported that the credit line was granted on 22 December 2021. The state's ownership unit says it was first contacted, as an insider, on 27 December. It considered the package oversized relative to Fortum's own finances. The parent guarantee turned a subsidiary's cash crunch into the parent's. Collateral had to be posted within days and I do not know what alternatives the board was shown, but staging the package and tying it to German state participation should at least have been attempted: Germany's KfW agreed a standby line with Uniper at the same time. A state representative joined Fortum's board only in March 2022.

Betting on Berlin

From 16 June 2022 Gazprom delivered only 40 per cent of contracted volumes, then nothing. Uniper had to buy replacement gas at spot prices to serve customers at fixed prices. Rauramo told the committee that Fortum had lobbied for Germany's spring amendments to its energy security law and had relied on Berlin triggering the emergency stage that would allow costs to be passed through. Berlin issued a pass-through decree in August and repealed it retroactively in October. From Berlin the view was different: the losses came from Uniper's own contracts, and the government was unwilling to push them onto households and industry mid-crisis. Either way, the liquidity of Finland's strategic utility depended on another government's political choice.

The stakes were existential. Uniper's insolvency would have triggered repayment of about €10bn of Fortum's own debt. Fortum's own collateral calls on Nordic power derivatives peaked at about €5bn in August, and the state arranged a €2.35bn bridge facility through Solidium at an effective rate of 14.2 per cent, before an equity kicker. Fortum drew €350m and repaid it in March 2023.

Selling to Berlin was right, but incomplete

In September 2022 Germany agreed to buy Fortum's stake at €1.70, the same price it paid for new shares, repay the €4bn loan and release the guarantee. The Finnish state's two goals, no new equity and the return of the loans and guarantees, were met. Uniper lost €19bn in 2022 and Germany's rescue came to about €20bn. Selling was the right call.

Two things were missing. The first is any share of future value. Uniper earned €6.3bn in 2023 and repaid €2.6bn to the German state in 2025. It won an arbitration award of more than €13bn against Gazprom, although only a fraction has been collected: about €533m by offset and hundreds of millions more through enforcement in German courts. Everything recovered goes to Berlin. Fortum, a seller in distress, did not ask for a slice of an open claim that would have cost Berlin little to concede.

The second is the right of first offer on Uniper's Swedish hydro and nuclear business. It expires on 31 December 2026 and is triggered only if Uniper itself sells those assets. Germany launched Uniper's privatisation in May and must cut its stake to 25 per cent plus one share by the end of 2028. The likely routes, a listing or a trade sale of the whole company, would not trigger the right at all. Tying the right to Germany's exit, and extending the trigger to a change of control, would have kept Fortum at the table when the assets it wanted most are most likely to change hands.

The road not taken

Martin Paasi, who sat on the audit committee when the report was adopted, has argued that Fortum should instead have taken Uniper over completely in 2020, moved the Swedish assets home and sold the rest. The diagnosis is right: Fortum carried an owner's risk without an owner's power. The prescription deserves a caveat. Under section 302 of Germany's Stock Corporation Act a parent with a domination agreement must cover the subsidiary's annual losses, and under section 303 creditors can demand security when the agreement ends. Unless the gas business had been sold during 2021, full control would have made Fortum legally liable for Uniper's €19bn loss.

The ranking is therefore clear. The middle ground Fortum chose was the worst. Full control might have been better, but only if the sale came in time. The only path that would certainly have capped the loss was to stop as a minority owner.

Why three deals in four fail

Uniper is an extreme case of a common pattern. Baruch Lev and Feng Gu analysed some 40,000 acquisitions over four decades and found that 70–75 per cent fail. Sara Moeller, Frederik Schlingemann and René Stulz showed that between 1998 and 2001 acquirers' shareholders lost \$240bn, 12 cents per dollar spent, and that the losses were concentrated in a few large deals. McKinsey finds that companies making a steady stream of small and mid-sized deals beat their peers by 2.3 percentage points a year, while a deal worth more than 30 per cent of the buyer's value is a coin toss.

Of the risk factors the research can measure, Uniper displayed five fully and one in part: a deal large relative to the buyer, a listed target, hostile management, an unfamiliar business model, foreign regulators limiting control, and a cash-rich buyer. Vattenfall's purchase of Nuon in 2009 followed a similar script and ended with SEK165bn of write-downs and a Swedish minister before parliament. State ownership makes capital cheap before a deal and leaves the tail risk with the taxpayer after it.

A board seat is not enough

The committee's remedy is a state director on every state-owned board. It would have helped: a director in the room in December 2021 could have pressed for the €8bn to go to the owner first. But a director acts for all shareholders and holds no veto. The state was already informed through an insider list. What was missing was an obligation to consult the owner before committing.

A measurable threshold would supply it. When a transaction or commitment exceeds, say, one fifth of market value, the largest owner is consulted before the board decides. That is lower than the research's 30 per cent danger line, because consultation is cheap. It fits within company law and market-abuse rules: an owner brought inside may not trade on the information, so consultation confers no unfair advantage, and the heavier alternative is a shareholder vote. Both the Uniper offer and the December 2021 package would have crossed the line by a wide margin.

Every board with a dominant owner, whether a state, a family or a private-equity fund, should ask the same questions before a large deal. How big is it relative to us? Do we get control, and when? Who is the largest counterparty, and what happens if it stops delivering? How much cash do we need if prices rise tenfold? Who carries the risk if the target fails? And has the owner been heard before we sign? Fortum could have asked all of them in 2017, 2019 and 2021.

Sources

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